funds. These are funds that aim to invest in companies across all market caps like large, mid and small caps. Then, there is the Balanced Advantage fund category which is also suitable for a young investor. These funds are known to reduce volatility by dynamically managing the allocation between equity and debt in the portfolio to capitalise on potential gains. Their suitability is in line with keeping up with market movements as the experienced fund managers managing these funds decide the optimal allocation that helps in maintaining less volatile returns.

Married with kids

As your financial commitments go up, your ability to take investment risks go down. However, this is also a stage in life when you have several targeted financial goals ahead such as children's education, servicing debts if any and to build your retirement savings. While you can continue to use the ELSS to save taxes, you could explore targeted mutual funds such as children oriented funds.

This is a category of fund which is designed to help you save towards the educational and other needs of your children. The earlier you plan and invest for your children, the better it is for their future. These funds usually come with options which have a different mix of equity and debt to help you invest according to your risk appetite and investment horizon. A lock-in period of 5 years in this fund ensures that you are committed to investing for your child and helps the power of compounding to take effect.

Like the children focused funds, there is a fund category that is suited towards retirement planning. These funds let you get the discipline of investing for retirement with sub-plans having a different mix of equity and debt to suit your age and risk profile. There is a lock-in of 5 years or till retirement age (whichever is earlier) to help you benefit from compounding over time.

Funds to explore

ELSS, Children-focused funds, Retirement-focused funds, Long-term equity schemes such as Large-cap, Mid-cap, Flexicap, Small cap etc.

Everyone lives their life differently, and everyone has complicated emotions about money, so investment decisions are highly personal and unique to each person.

Nearing retirement

As you approach retirement, you would be comfortable with investments in less volatile funds. You can shift your investments in equity funds to debt funds that are less volatile. You could move to short- and medium-term bond funds depending on the prevailing interest rates and your need. You could also use the money market funds for your short term needs.

These funds are short-term debt funds which invest in money market instruments. They are tax efficient and are suitable to meet emergency needs as well as a stop gap arrangement till you decide what to do with the funds. You could also use a technique to withdraw your investments in equity schemes with the SWP (systematic withdrawal plan) tool. By using this strategy, you could create an income stream for yourself for your financial needs during retirement. You could also use the STP (systematic transfer plan) to shift your investments from equity to debt mutual funds in a regular and systematic way.

Funds to explore

Liquid funds, money market funds, SWP and STP ways to utilise investments in long-term equity schemes.

As investing is a lifelong process, the best time to start investing is as soon as you start to earn. A way to make your investment count is to invest through the SIP (systematic investment plan) in mutual fund schemes at every stage of your life. Regular contributions to savings or investment accounts are often the most productive; and if you can automate them, they are even easier. Understand how different mutual fund schemes may suit you at different stages of your life to make the most of the investment options and make them work for you and help you get the most from these investments. ●

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